

□ Why share of GDP on Health care increasing?

Sol: Day by day, the share of GDP spent on health care increased.

i) People may be buying more health services. Patients may be consulting with health care providers more frequently, doctors may be ordering more tests or they may be prescribing more drugs.

ii) People may be buying higher-quality health services including products and services that previously were not available. Laser surgery, organ transplants and new treatments for burn victims, unavailable in 1960, have raised the quality of care.

iii) Health care inflation may be higher than the general inflation rate. Higher incomes and the increased prevalence of insurance, including large government programmes such as Medicare and Medicaid, may have led to increased health care prices over time.